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THE JAPANESE BUSINESS ASSOCIATION IN VIETNAM
No: 14/2017JBAV

Ref: Non Payment in Japanese Loan Financed Projects in HCM city

SOCIALIST REPUBLIC OF VIETNAM

Independence –Freedom- Happiness

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Hanoi, 04th May 2017

Respectfully to: H.E. Mr. Nguyen Chi Dung
Minister of Planning and Investment
Government of the Socialist Republic of Vietnam

First of all, we wish to express our sincere gratitude and appreciation to your prominent leadership for improving investment and business environment in Vietnam.

We believe Japanese ODA has played a great role in Vietnam's socio-economic growth over the past few decades. In the meantime, as we have shared with you last year in the attached letter (Ref. No. DN24/2016HHDNNB dated on August 10th 2016), there have been various bottlenecks for Japanese ODA Loan financed projects due to the failure of Employer's responsibility to comply with contract conditions such as non-payment to contractors.

Here, amongst others, we would like to request your highest attention to a critical non-payment problem occurring in two Japanese ODA financed projects in Ho Chi Minh City, which are *Ho Chi Minh City Urban Railway Construction Project Ben Thanh – Suoi Tien (Line 1)* and *Ho Chi Minh Waste Water Treatment Project*. Due to the lack of approved ODA budget in Ho Chi Minh People's Committee for fiscal year 2017, payments to contractors of those two projects have been suspended for months, and the accumulated overdue amount is now more than VND 2,300 billion as shown in the letter to you issued by JICA Vietnam Office (Ref. 499.2017/JICA-YL dated on May 4th, 2017). This excessive non-payment has damaged contractors' cash-flow deeply and may force them to reduce the work rate or suspend the work in accordance with the contract, which in turn will delay the completion of such critical important projects for Ho Chi Minh City.

We have serious concern that in case this situation cannot be urgently solved, it shall damage not only progress of those two projects in Ho Chi Minh City, but also future projects in Vietnam by deteriorating credibility of the Employer in Vietnam and enhancing Japanese companies' attention on significant business risk in Vietnam, which will lose Japanese companies' interest in doing business in Vietnam.

In order to secure quality of works in those two projects in Ho Chi Minh City, and to continue active development by Japanese companies from now on, we sincerely request you to instruct relevant authorities to make prompt payments to the contractors.

We would like to express our thank you and respectfully hope that you and the Ministry

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would continue to support us onwards. /.

Recipients:

- *As above;*
- *H.E. Mr. Trinh Dinh Dung, Deputy Prime Minister*
- *H.E. Mr. Pham Binh Minh, Deputy Prime Minister, Minister of Foreign Affairs*
- *H.E. Mr. Dinh Tien Dung, Minister of Finance*
- *H.E. Mr. Truong Quang Nghia, Minister of Transport*
- *Ambassador, Embassy of Japan*
- *Chief Representative, JICA Vietnam Office*
- *The Japanese Association of Ho Chi Minh City*
- *The Japan Business Association in Da Nang*

THE JAPAN BUSINESS ASSOCIATION

IN VIETNAM

Chairman

HIỆP HỘI CÁC DOANH NGHIỆP NHẬT BẢN TẠI VIỆT NAM
BAN LÃNH ĐẠO

Hiroshi KARASHIMA

Hiệp Hội Doanh Nghiệp Nhật Bản tại Việt Nam
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RECEIVED
12 Aug 2016

THE JAPAN BUSINESS ASSOCIATION
IN VIETNAM
No.: DN24/2016HHDNNB

THE SOCIALIST REPUBLIC OF VIETNAM
Independence – Freedom – Happiness

Re: Measures required for compliance with the conditions of contract in Japanese ODA Loan financed projects

Hanoi, August 10th 2016

Respectfully to: H.E. Mr. Nguyen Chi Dung
Minister of Planning and Investment
Government of the Socialist Republic of Vietnam

First of all, we would like to express our sincere appreciation to your strong leadership for improving the investment and business climate in Vietnam. Now, we would like to seek your support and cooperation to the operations of the Japan Business Association Vietnam (JBAV) in Vietnam.

Japanese ODA plays a key role in Vietnam's social and economic development over the past few decades, and we, Japanese contractors are very proud of participating in such important infrastructure projects.

Today, we would like to bring your attention to an urgent matter regarding the failure of the Employer's responsibility to comply with the conditions of contract which is increasingly becoming an implementation bottleneck for Japanese ODA Loan financed projects. Such failures are mainly non-payment of VAT, import tax, and bonus payment which have been always caused by the lack of Government Fund as shown in the attachment as of June 2016.

In case this situation remains, Japanese contractor may have to reduce the work rate, suspend the project in accordance with the conditions of the contract. Furthermore, not only these contractors but also other Japanese companies doing business in Vietnam consider it as a significant business risk and we might be forced to exit from Vietnamese business market.

In order to assure high-quality construction works, we request you to instruct relevant authorities and the Employers to comply with the conditions of contract and promptly solve huge amount of non-payment.

We thank you very much and look forward to your prompt action and reply.

Yours sincerely,

The Japan Business Association in Vietnam
Chairman

Taiji Yanai

Recipients:
- H.E. Mr. Trinh Dinh Dung, Deputy Prime Minister
- H.E. Mr. Pham Binh Minh, Deputy Prime Minister, Chair of ODA National Steering Committee
- H.E. Mr. Dinh Tien Dung, Minister of Finance
- H.E. Mr. Truong Quang Nghia, Minister of Transport
- Ambassador, Embassy of Japan
- Chief Representative, JICA Vietnam Office
- The Japanese Association of Ho Chi Minh city;
- The Japan Business Association in Da Nang;